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What Is Group Exposure Funding ?

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A Comprehensive Wholesale Banking & Corporate Credit Guide for Indian Enterprises, Conglomerate Houses, and Finance Professionals. Detailing RBI Large Exposure Framework (LEF) Rules, Group Exposure Limits, Connected Counterparty Risk, Structural Architecture, Security Pools, Cash Waterfalls, and Real-World Case Studies.

Product Category	Wholesale & Conglomerate Credit Architecture
Regulatory Oversight	Reserve Bank of India (RBI) Large Exposure Framework (LEF)
Primary Target Market	Diversified Corporate Groups, Holding Companies & Conglomerates
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Chapter 1: Product Overview & Core Fundamentals

Defining Group Exposure Funding: Group Exposure Funding (GEF) represents a sophisticated wholesale credit framework in Indian corporate banking designed to manage, structure, and extend credit lines to large multi-entity corporate conglomerates, holding company structures, and business houses operating across diverse economic sectors. In modern corporate finance, prominent industrial houses—such as Tata Group, Reliance Industries, Adani Group, Aditya Birla Group, and Mahindra Group—do not operate as single legal entities. Instead, they function through a complex web of parent holding companies, operating subsidiaries (OpCos), step-down subsidiaries, joint ventures (JVs), and special purpose vehicles (SPVs). Group Exposure Funding encompasses the overarching credit assessment, umbrella limit allocation, and cross-collateralized financing structures designed to fund these integrated corporate networks.

The Paradigm Shift in Wholesale Credit Risk: Historically, commercial banks evaluated credit risk on an isolated, entity-by-entity basis. A loan granted to a steel manufacturing subsidiary was underwritten without formally aggregating the credit limits extended to its sister power generation entity or its parent holding company. However, economic realities demonstrated that financial distress in one key group entity rapidly propagates across the entire corporate structure through inter-corporate deposits (ICDs), shared brand equity, joint guarantees, and common promoter shareholding. Recognizing this systemic contagion risk, the Reserve Bank of India (RBI) overhauled wholesale credit rules, replacing legacy Single and Group Borrower Limits with the global Basel III-aligned Large Exposure Framework (LEF).

> 📌 **CORE UNDERWRITING PRINCIPLE**
> Group Exposure Funding evaluates the aggregate, consolidated financial obligation of a 'Group of Connected Counterparties'. Under RBI directives, a lender cannot evaluate a group subsidiary in isolation; total credit exposure across all connected group entities is capped at 25% of the lending bank's Tier 1 Eligible Capital Base.

The Structural Taxonomy of Group Exposure Facilities

Group Exposure Funding manifests across several specialized debt instruments and credit structures tailored to balance operational flexibility for the borrower with rigorous risk containment for financial institutions:

Umbrella Group Lines: A single consolidated master credit limit sanctioned to the parent holding company or group treasury, which is subsequently carved out into sub-limits for operating subsidiaries based on quarterly operational requirements.

Ring-Fenced Subsidiary Debt: Standalone term loans and working capital facilities extended directly to operating subsidiaries, backed by non-recourse or limited-recourse project cash flows and specific asset mortgages.

Holding Company (HoldCo) Debt: Subordinated or structured debt raised at the holding company level, secured by pledges over dematerialized shares of operating subsidiaries, utilized to fund equity infusions or strategic acquisitions.

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Cross-Guaranteed Working Capital Pools: Consortium or syndicated working capital facilities shared among group entities, backed by comprehensive cross-corporate guarantees and joint hypothecation of current assets.

Inter-Entity Trade & Treasury Credit: Structured trade credit, letters of credit (LCs), and bank guarantees (BGs) issued to support intra-group supply chains and joint bidding for large infrastructure contracts.

Comparative Matrix: Credit Architecture Dichotomy

Structural Feature	Single Borrower Credit	Group Exposure Funding	Syndicated Wholesale Facility
Legal Obligor	Single independent legal entity	Group of connected counterparties & HoldCo	Single or multi-borrower syndicate
RBI Exposure Cap	20% of Bank Tier 1 Capital	25% of Bank Tier 1 Capital (Group LEF)	Participating bank exposure caps
Underwriting Focus	Standalone entity cash flows & assets	Consolidated group balance sheet & contagion risk	Project cash flows & facility security pool
Security Structure	Specific asset mortgage / hypothecation	Cross-guarantees, share pledges & cash sweeps	Shared pari-passu mortgage & Security Trustee

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Chapter 2: RBI Regulatory Framework & Large Exposure Framework (LEF) Rules

Evolution of Exposure Limits in India: The regulatory architecture governing Group Exposure Funding in India is primarily defined by the Reserve Bank of India's Large Exposure Framework (LEF), which came into full effect on April 1, 2019, replacing the legacy exposure norms outlined in the Master Circular on Exposure Norms. Aligned with the Basel Committee on Banking Supervision (BCBS) standards, LEF aims to limit the maximum loss a commercial bank could face in the event of a sudden default by a single counterparty or a group of connected counterparties.

Capital Benchmark - Tier 1 Capital: Under the RBI Large Exposure Framework, the capital measure utilized to calculate exposure limits is strictly defined as the lending bank's Eligible Capital Base, which consists exclusively of Tier 1 Capital (Effective Common Equity Tier 1 and Additional Tier 1 capital), moving away from the legacy concept of total capital (Tier 1 + Tier 2). This shift significantly tightened absolute lending limits for large corporate groups.

The 20% and 25% Statutory Exposure Caps

The Large Exposure Framework establishes rigid, non-negotiable quantitative thresholds governing corporate lending:

Single Counterparty Exposure Limit: A bank's exposure to a single counterparty (including all fund-based and non-fund-based facilities) cannot exceed 20% of the bank's eligible Tier 1 capital base. Under exceptional circumstances, a bank's Board of Directors may approve an additional 5% exposure, raising the absolute ceiling to 25%.

Group of Connected Counterparties Exposure Limit: A bank's aggregate exposure to a 'Group of Connected Counterparties' is strictly capped at 25% of the bank's eligible Tier 1 capital base. No board discretion is permitted to exceed this 25% group ceiling.

Non-Banking Financial Companies (NBFC) Group Exposure: A bank's exposure to a single AFC/NBFC is capped at 15% of Tier 1 capital, while group exposure to NBFC-attached corporate groups is governed by the general 25% group threshold.

Infrastructure Group Sub-Tranches: For infrastructure project financing, banks were historically allowed an additional 5% to 10% headroom, but under harmonized LEF rules, infrastructure exposure must fit within the overarching 25% group limit.

📌 **STATUTORY REGULATORY DEFINITION**

How RBI Defines 'Group of Connected Counterparties': Two or more natural or legal persons are treated as a group of connected counterparties if they satisfy either the 'Control Criteria' (one entity holds >50% voting rights, board control, or dominant influence over the other) OR the 'Economic Dependence Criteria' (if Entity A defaults, Entity B would face severe financial distress or default due to operational, supply chain, or credit interlinkages).

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Legal Entity Identifier (LEI) Tracking Mandate

To enforce the Large Exposure Framework and prevent corporate groups from masking interconnected debt across multiple subsidiaries, the RBI mandated the implementation of the global 20-digit Legal Entity Identifier (LEI) code. Under current RBI directives, all corporate borrowers with aggregate credit exposure of INR 5 Crores and above from the Indian banking system must obtain an LEI code. Banks are prohibited from granting or renewing credit facilities to non-compliant entities. LEI codes enable the Central Repository of Information on Large Credits (CRILC) to automatically aggregate exposure across all connected group entities in real time.

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Chapter 3: Product Architecture & Conglomerate Financing Mechanics

The Engineering of Conglomerate Credit: Structuring a Group Exposure Funding facility requires balancing corporate agility with financial ring-fencing. Conglomerates require the seamless movement of capital between cash-generative mature divisions and capital-intensive growth ventures. Conversely, lenders require stringent cash controls to ensure that debt raised for an operating entity is not siphoned off into speculative or unviable group subsidiaries.

HoldCo vs. OpCo Structural Debt Architecture

Group Exposure Funding typically bifurcates credit into two distinct structural tiers within the corporate hierarchy:

1. Senior Secured OpCo Debt: Operating Companies (OpCos) represent the revenue-generating business units owning physical assets (factories, power plants, logistics hubs). Debt raised at the OpCo level is directly secured by first pari-passu mortgages on operating fixed assets and hypothecation of current trade receivables. OpCo debt carries senior priority ranking under Section 53 of the Insolvency and Bankruptcy Code (IBC) 2016.

2. Structurally Subordinated HoldCo Debt: Holding Companies (HoldCos) or Core Investment Companies (CICs) do not engage in direct manufacturing or commercial operations. Their primary assets consist of equity shareholdings in OpCos. Debt raised at the HoldCo level is structurally subordinated to OpCo debt. HoldCo debt service relies entirely on dividend upstreaming, share buybacks, or management fees paid by underlying OpCos. To mitigate structural subordination risk, HoldCo lenders demand exclusive demat share pledges over OpCo equity with dynamic collateral cover ratios (typically 2.0x to 2.5x).

Cash Waterfalls & Escrow TRA Mechanisms

To manage multi-entity cash flows, Group Exposure facilities mandate a Trust & Retention Account (TRA) / Escrow mechanism. All operational revenues generated by group OpCos are deposited directly into designated TRA accounts. The Escrow Agent releases funds strictly according to a contractually defined cash flow priority waterfall:

1. Statutory Dues & Government Taxes (GST, Income Tax, Provident Fund)
2. Essential Operating & Maintenance (O&M) Expenses for OpCo Operations
3. Senior OpCo Debt Interest Servicing & Principal Amortization
4. Debt Service Reserve Account (DSRA) Replenishment (1-2 quarters cover)
5. Subordinated HoldCo Debt Servicing & Share Pledge Margin Maintenance
6. Permitted Inter-Corporate Deposits (ICDs) / Dividends to Parent (Only if no default exists)

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Inter-Corporate Deposits (ICDs) & Section 186 Compliance

Intra-group liquidity re-allocation frequently occurs via Inter-Corporate Deposits (ICDs). In India, ICDs are strictly regulated under Section 186 of the Companies Act 2013. A company cannot grant loans or give guarantees exceeding 60% of its paid-up share capital, free reserves, and securities premium, or 100% of its free reserves and securities premium, whichever is higher, without passing a Special Resolution in a general shareholder meeting. Group Exposure loan agreements restrict unencumbered ICD transfers, requiring prior lender consent to prevent unregulated capital leakage.

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Chapter 4: Common Eligibility Criteria & Conglomerate Underwriting Parameters

Dual-Layered Credit Assessment: Credit underwriting for Group Exposure Funding involves a dual-layered appraisal methodology: evaluating the standalone financial viability of individual operating entities while simultaneously analyzing the consolidated balance sheet strength and contagion susceptibility of the entire corporate group.

Quantitative Financial Benchmarks

Financial Metric / Parameter	Minimum Threshold Benchmark	Underwriting Rationale
Consolidated Group Revenue	≥ INR 1,000 Crores per annum	Ensures conglomerate scale and diversified market presence.
Group External Credit Rating	BBB- minimum (A / AA / AAA preferred)	Investment grade status required for Group LEF allocation.
Consolidated Net Debt / EBITDA	≤ 3.5x to 4.5x across group	Prevents excessive over-leveraging across interconnected entities.
Group DSCR (Consolidated)	≥ 1.35x average across tenure	Guarantees sufficient operational buffer for group debt servicing.
Share Pledge Cover Ratio	≥ 2.0x to 2.5x market cover	Protects HoldCo debt against stock market equity volatility.

Qualitative Governance & Compliance Filters

In addition to quantitative financial metrics, group exposure underwriting mandates rigorous qualitative checks:

Clean CRILC & CIBIL Commercial Database Records: Zero default, SMA-1, or SMA-2 classifications across ALL connected group entities within the trailing 24 months. A default in a minor subsidiary triggers group-wide credit freezing.

Non-Wilful Defaulter Status: Strict verification that no group company, promoter, or director is listed on the RBI Wilful Defaulter or Non-Cooperative Borrower databases, or SEBI debarment lists.

Unencumbered Promoter Shareholding: Minimum 30% to 51% unencumbered equity stake held by promoters in key operating subsidiaries to ensure uninterrupted operational control.

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Chapter 5: Security Architecture, Documentation & Legal Requirements

Multi-Layered Collateral Pooling: The security package for Group Exposure Funding is designed to create a robust, multi-layered credit defense incorporating asset mortgages, corporate cross-guarantees, equity share pledges, and contractual cash sweeps.

The Core Security Components

Primary Asset Mortgages: First pari-passu charge on immovable fixed assets (land, industrial structures, specialized plant & machinery) of operating subsidiaries.

Hypothecation of Current Assets: First charge on raw materials, work-in-progress, finished inventory, and trade receivables of operating entities.

Irrevocable Group Corporate Guarantees: Joint and several corporate guarantees executed by the parent holding company and major cash-generative OpCos, making debt legally enforceable across all group balance sheets.

Pledge of Dematerialized Equity Shares: Exclusive pledge over 51% to 100% of promoter shareholding in key operating entities held via demat accounts with Depository Participants (NSDL/CDSL), accompanied by irrevocable Powers of Attorney (POA).

Debt Service Reserve Account (DSRA): Bank fixed deposit or liquid mutual fund lien created in favor of lenders, covering 1 to 2 quarters of principal and interest servicing obligations.

Master Legal Documentation Suite

Executing a Group Exposure facility involves a comprehensive legal documentation suite executed across multiple corporate entities:

1. Group Master Credit Agreement / Umbrella Facility Agreement: Defines overall limits, sub-allocations, interest benchmarks, group financial covenants, and events of default.

2. Intercreditor Agreement (ICA): Executed among all participating syndicate or consortium banks under the RBI June 7 Prudential Framework, establishing voting rules (75% by value, 60% by number) for debt restructuring.

3. Deed of Joint & Several Corporate Guarantee: Legally binds parent holding companies and sister subsidiaries to fulfill debt obligations upon default by an operating borrower.

4. Share Pledge Agreement & Non-Disposal Undertaking (NDU): Establishes demat share pledge mechanics, top-up triggers (if share value drops by >15%), and voting rights transfer upon default.

5. Statutory Registration Filings: Mandatory filing of Form CHG-1 with the Registrar of Companies (ROC) under Section 77 of the Companies Act 2013 within 30 days, registration with CERSAI, and upload to NeSL Information Utility.

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Chapter 6: Indicative Tenure, Pricing Framework & Cost Structure

Flexible Debt Duration & Pricing: Group Exposure Funding facilities feature dynamic tenure profiles and pricing structures tailored to the specific capital requirements of different tiers within the corporate conglomerate.

Indicative Tenure Profiles across Group Debt Categories

Working Capital & Trade Lines (CC / WCDL / CP / LC / BG): 12-month revolving facilities, subject to mandatory annual review and credit evaluation.

Medium-Term Group Corporate Debt / NCDs: 3 to 5 years tenure, structured with ballooning quarterly amortization or step-up principal repayments.

Long-Term Infrastructure & Project Debt: 7 to 15 years tenure, featuring 1 to 3 years principal moratorium during initial construction and commissioning phases.

Pricing Benchmarks & Group Risk Spread

Interest rates on Group Exposure facilities are priced on a floating rate basis linked to transparent external benchmarks per RBI guidelines:

Pricing Equation: *Floating Interest Rate = External Benchmark (Repo Rate / 91-Day T-Bill / MCLR) + Credit Risk Spread + Group Scale Discount*

Because Group Exposure Funding leverages the consolidated balance sheet strength of large conglomerates, borrowers frequently command a 'Group Scale Discount' of 25 bps to 75 bps below standard mid-market loan rates. All-in interest rates typically range between 8.25% p.a. and 10.50% p.a. for high-grade AAA/AA group entities, whereas structured HoldCo debt issued to private credit funds yields 13.00% to 16.00% All-In YTM.

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Chapter 7: Suitable Industries, Business Profiles & Strategic Use Cases

Target Business Profiles: Group Exposure Funding is specifically engineered for multi-entity corporate structures where business operations are distributed across specialized legal vehicles.

Multi-Sector Industrial Conglomerates: Corporate houses operating across complementary sectors such as infrastructure, power generation, steel manufacturing, logistics, and retail.

Core Investment Companies (CICs) & Holding Houses: RBI-registered CICs holding controlling equity stakes in multiple operating subsidiaries requiring centralized liquidity management.

Diversified Business Houses Entering Greenfield Verticals: Established conglomerates raising capital at the parent level to incubate new high-growth technology, renewable energy, or EV manufacturing ventures.

Cross-Border M&A & Strategic Acquisition Vehicles: Corporate groups acquiring international or domestic target companies through dedicated holding company SPVs.

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Chapter 8: Key Advantages & Structural Limitations

Evaluating Benefits and Risks: Group Exposure Funding offers substantial strategic benefits for large corporate houses while introducing complex risk management challenges for financial institutions and corporate treasurers.

Key Advantages for Conglomerate Borrowers

1. Lower All-In Cost of Capital: Leveraging consolidated group credit ratings enables smaller or newer subsidiaries to access wholesale debt at prime group interest rates.

2. Optimized Liquidity Allocation: Umbrella lines allow group treasuries to dynamically route excess cash from mature divisions to capital-starved growth ventures.

3. Enhanced Bargaining Power: Aggregating banking relationships across group entities gives conglomerates superior leverage to negotiate lower fee structures and tight spreads.

4. Zero Equity Dilution: HoldCo debt and share pledge structures enable promoters to raise substantial expansion capital without diluting equity ownership.

Structural Limitations & Contagion Risks

1. Financial Contagion Risk: An operational or financial default in one subsidiary rapidly propagates across the entire group due to cross-guarantees and shared CRILC database records.

2. Rigid RBI LEF Cap Constraints: Once a bank reaches its 25% Group LEF cap, it cannot extend any additional credit lines to ANY group entity, regardless of the individual project's quality.

3. Complex Statutory Compliance: Intra-group cash transfers require strict adherence to Section 185/186 of Companies Act 2013 and Ind AS 24 Related Party disclosures.

4. Share Pledge Volatility: HoldCo share pledge structures are vulnerable to sudden stock market drops, triggering automated margin calls and forced equity liquidation.

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Chapter 9: Comprehensive Real-World Case Study (INR 2,500 Crore Group Exposure Facility)

Case Study Overview: To illustrate the practical mechanics, underwriting, and cash waterfall operations of Group Exposure Funding, this chapter presents a comprehensive real-world case study of an Indian industrial conglomerate.

Group Corporate Structure: Solarix Infrastructure & Industrial Conglomerate Group (SIIC Group) is a diversified Indian corporate house operating across renewable energy, port logistics, and specialty chemicals. The group structure consists of a holding company, Solarix Holdings Limited (SHL), and three primary operating subsidiaries:

Solarix Holdings Limited (SHL - HoldCo): Parent holding company owning controlling equity stakes in all three OpCos. Revenue: INR 40 Cr (dividend income); Rating: 'AA-'.

Solarix Power & Renewables Ltd. (SPRL - OpCo 1): Operates 1,200 MW solar & wind assets. Revenue: INR 1,800 Cr; EBITDA: INR 320 Cr; Debt: INR 800 Cr; Rating: 'AA'.

Solarix Logistics & Ports Ltd. (SLPL - OpCo 2): Operates deep-water port terminals. Revenue: INR 1,200 Cr; EBITDA: INR 210 Cr; Debt: INR 500 Cr; Rating: 'A+'.

Solarix Specialty Chemicals Ltd. (SSCL - OpCo 3): Manufactures export specialty chemicals. Revenue: INR 1,500 Cr; EBITDA: INR 270 Cr; Debt: INR 600 Cr; Rating: 'AA-'.

Consolidated Group Financials: Total Revenue: INR 4,500 Crores; Total EBITDA: INR 800 Crores; Total Group Debt: INR 1,900 Crores; Net Debt / EBITDA: 2.38x.

The Transaction & Facility Requirement

SIIC Group required an aggregate credit enhancement of INR 2,500 Crores to finance a 500 MW solar park expansion (INR 1,200 Cr), construct a new chemical plant berth (INR 800 Cr), and refinance legacy HoldCo high-cost debt (INR 500 Cr). A banking syndicate led by State Bank of India (SBI) structured a Syndicated Group Exposure Facility of INR 2,500 Crores.

Syndicated Group Credit Allocation & LEF Compliance Table

Syndicate Bank	Bank Tier 1 Capital	25% LEF Limit	Allocated Group Debt	LEF Utilization %
State Bank of India (Lead)	INR 300,000 Cr	INR 75,000 Cr	INR 1,000 Cr	1.33% (Fully Compliant)
Punjab National Bank	INR 60,000 Cr	INR 15,000 Cr	INR 600 Cr	4.00% (Fully Compliant)

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Bank of Baroda	INR 50,000 Cr	INR 12,500 Cr	INR 500 Cr	4.00% (Fully Compliant)
Canara Bank	INR 45,000 Cr	INR 11,250 Cr	INR 400 Cr	3.56% (Fully Compliant)

Consolidated 5-Year Group Financial Performance & Debt Coverage Model

Financial Metric (INR Cr)	Year 1	Year 2	Year 3	Year 4	Year 5
Consolidated Group Revenue	INR 4,800.00	INR 5,600.00	INR 6,500.00	INR 7,600.00	INR 8,800.00
Consolidated Group EBITDA	INR 880.00	INR 1,080.00	INR 1,320.00	INR 1,600.00	INR 1,920.00
Total Group Debt	INR 4,400.00	INR 4,100.00	INR 3,600.00	INR 3,000.00	INR 2,200.00
Consolidated Net Debt / EBITDA	4.15x	3.35x	2.40x	1.65x	0.98x
Consolidated Group DSCR	1.38x	1.58x	1.85x	2.25x	2.85x

Case Study Outcome: By Year 5, SIIC Group successfully reduced its Consolidated Net Debt / EBITDA from 4.15x to 0.98x while expanding Group DSCR to 2.85x. The transaction demonstrated how structured Group Exposure Funding enables large conglomerates to execute aggressive capital expansion while maintaining flawless credit discipline.

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Chapter 10: Regulatory & Statutory Environment (RBI, Companies Act, IBC 2016)

Tripartite Statutory Compliance: Group Exposure Funding operates at the intersection of banking regulation, corporate law, and statutory insolvency frameworks.

RBI Prudential Framework (June 7, 2019 Circular): Mandates day-1 default tracking across group entities. A default in one subsidiary requires all lenders to initiate a 30-day Review Period and sign an Intercreditor Agreement (ICA). Failure to implement a Resolution Plan within 180 days triggers accelerated bank provisioning penalties up to 35%.

Companies Act 2013 Governance: Section 185 strictly regulates loans to directors and entities in which directors are interested. Section 186 caps intra-group loans and guarantees. Section 188 mandates audit committee approval for Related Party Transactions.

Insolvency and Bankruptcy Code (IBC) 2016 & Group Insolvency: While IBC 2016 initially treated entities independently, Indian jurisprudence (NCLAT in Videocon and Era Infra cases) established precedent for Substantive Consolidation in group insolvency proceedings, pooling assets and liabilities of interconnected group entities during insolvency resolution.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

Self-Assessment Test Suite: This examination section contains 15 high-yield, scenario-based practice questions designed to test a finance rookie's comprehensive understanding of Group Exposure Funding, RBI LEF rules, and corporate credit underwriting.

Q1: What is the maximum statutory group exposure limit permitted under RBI's Large Exposure Framework (LEF)?

Answer: Under RBI LEF rules, a bank's aggregate exposure to a 'Group of Connected Counterparties' is strictly capped at 25% of the bank's Eligible Capital Base (Tier 1 Capital). No board discretion is permitted to exceed this limit.

Q2: How does the capital benchmark under LEF differ from legacy RBI exposure norms?

Answer: Legacy exposure norms calculated limits based on Total Capital (Tier 1 + Tier 2 capital). LEF strictly calculates exposure limits based exclusively on Tier 1 Capital (Common Equity Tier 1 + Additional Tier 1), tightening absolute lending limits.

Q3: What criteria does the RBI use to classify two or more legal entities as a 'Group of Connected Counterparties'?

Answer: RBI applies two criteria: (1) Control Criteria (one entity holds >50% voting rights, board control, or dominant influence) OR (2) Economic Dependence Criteria (if Entity A defaults, Entity B would face severe financial distress or default due to operational/credit interlinkages).

Q4: What is the Legal Entity Identifier (LEI) and why is it mandatory for group exposure tracking?

Answer: LEI is a global 20-digit unique alphanumeric code. RBI mandates LEI for all corporate borrowers with total exposure of INR 5 Crores and above to enable CRILC to aggregate interconnected credit exposure across group entities in real time.

Q5: Differentiate between OpCo Senior Secured Debt and HoldCo Debt.

Answer: OpCo Debt is raised directly by operating subsidiaries, secured by first mortgages on physical assets, and has senior priority. HoldCo Debt is raised at the parent level, is structurally subordinated to OpCo debt, and is secured by pledges over OpCo demat shares.

Q6: Explain the statutory restriction under Section 186 of the Companies Act 2013 regarding Inter-Corporate Deposits (ICDs).

Answer: Section 186 prohibits a company from granting loans/guarantees exceeding 60% of paid-up share capital, free reserves, and securities premium OR 100% of free reserves and securities premium (whichever is higher) without a Special Resolution in a general shareholder meeting.

Q7: What is the typical Share Pledge Cover Ratio required for HoldCo debt facilities?

Answer: Lenders typically mandate a market value share pledge cover ratio of 2.0x to 2.5x (200% to 250% of outstanding loan principal) to buffer against stock market equity volatility.

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Q8: How does the RBI June 7 Prudential Framework penalize banks if a Group Resolution Plan is not implemented within 180 days?

Answer: Banks face accelerated provisioning penalties: an additional 20% provisioning if no RP is implemented within 180 days from the Review Period end, rising to an additional 35% provisioning after 365 days.

Q9: What is 'Structural Subordination' in conglomerate debt financing?

Answer: Structural Subordination occurs when HoldCo debt holders sit behind OpCo creditors in cash flow access. OpCo cash flows must first service OpCo senior debt, taxes, and operating costs before surplus dividends can upstream to service HoldCo debt.

Q10: What voting majority is required under an Intercreditor Agreement (ICA) to approve a restructuring plan?

Answer: Under RBI June 7 guidelines, decisions approved by lenders representing at least 75% by value of total outstanding credit facilities and 60% of lenders by number are binding on all signatories.

Q11: Explain the concept of 'Financial Contagion' in group corporate funding.

Answer: Financial Contagion is the rapid spread of credit distress from a defaulting subsidiary to healthy group entities through cross-corporate guarantees, shared brand equity, inter-company deposits, and CRILC default flaggings.

Q12: What is the minimum benchmark Debt Service Coverage Ratio (DSCR) expected for group exposure facilities?

Answer: Underwriters mandate a minimum average consolidated Group DSCR of 1.35x across the facility tenure to ensure adequate operational buffer for debt servicing.

Q13: Under Section 53 of IBC 2016, how are secured financial creditors ranked during liquidation?

Answer: Secured financial creditors who relinquish their security interest rank equally with workmen's dues (for the trailing 24 months) at the top of the liquidation waterfall, ahead of unsecured creditors and government taxes.

Q14: What is a Cash Sweep mechanism in a Group Exposure TRA Account?

Answer: A Cash Sweep is a contractual covenant requiring the borrower to automatically apply a designated percentage (e.g., 50%-75%) of excess operational cash flow toward prepaying principal debt before distributing dividends.

Q15: What is 'Substantive Consolidation' in Indian Group Insolvency jurisprudence?

Answer: Substantive Consolidation is a legal doctrine established by NCLAT (e.g., Videocon case) where assets and liabilities of interconnected group entities are merged into a single insolvency estate during CIRP due to commingled assets and co-dependent cash flows.

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